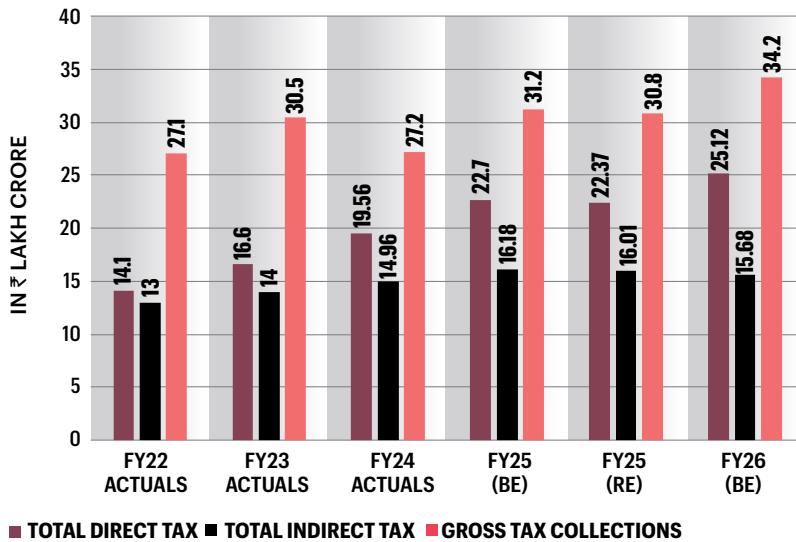


TAX COLLECTIONS

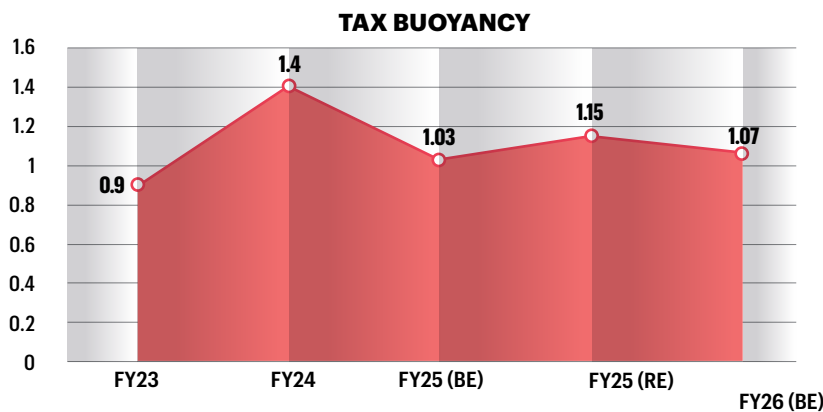
- Net tax revenue is seen to grow 11.1% in FY26
- Direct tax receipts to lead growth in tax collections



BE BUDGET ESTIMATES, RE REVISED ESTIMATES; SOURCE BUDGET DOCUMENTS

TAX BUOYANCY TO MODERATE

- Slower nominal growth and tax giveaways will impact tax collections
- Tax buoyancy is seen at 1.07 in FY26, down from 1.15 in FY25



BE BUDGET ESTIMATES RE REVISED ESTIMATES
SOURCE CAREEDGE RATINGS, BUDGET DOCUMENTS

could be a shortfall of ₹60,000 crore to ₹80,000 crore in total receipts,” said a report by brokerage Motilal Oswal Financial Services.

Officials have, however, underlined that the Budget targets remain credible and lean on the

conservative side.

D.K. Srivastava, Chief Policy Advisor at consultancy firm EY India, agrees and says that he does not see any great overestimation in the Budget Estimates for FY26, except for the corporate tax projections.

“Given that corporate tax collections are subdued even in FY25 with a buoyancy of 0.78, the Budget has estimated a corporate tax buoyancy of 1.03 in FY26,” he points out.

But will these initiatives return the economy to 7% growth?

Srivastava believes that growth will be on the lower end of the spectrum of the Survey’s projection. Nominal GDP growth may also be lower than the projected 10.1% in FY26, he says.

“While there may be some consumption stimulus from the announcements, the impact will be limited on growth as total expenditure growth, including capital and revenue expenditure, is seen to slow down in FY26,” Srivastava says.

Pant of India Ratings and Research says the agency has estimated GDP growth at 6.6% for FY26. “We will evaluate the impact of the Budget measures, the monsoon rainfall and how global conditions pan out in the next few quarters before we take a call on revising the growth estimate,” he adds.

Ranade says the multiplier effect of capital expenditure is usually much higher than that from a consumption stimulus. However, there has been a concern that consumption spending is moderating and so there was a need for a tax cut. “Overall, the consumption stimulus will have some impact on growth. But its multiplier effect might be less than 1,” he notes.

Ranade says one strong signal is fiscal restraint. “The fiscal deficit target has been brought below 4.5% as promised, and that also is good news for the bond markets. Bond yields, interest rates and possibly inflation would ease giving space for a monetary stimulus including a rate cut,” he says.

The FM and her team have done their bit. The wheels of the economy have to turn now. **BT**

@surabhi_prasad